

INSTITUTE OF ACCOUNTACY ARUSHA



INDIVIDUAL ASSIGNMENT

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Advantages and Disadvantages of Long-Term Budget

a) Advantages of Long-Term Budget

1. Achieving Major Financial Goals

A long-term budget helps a business to plan and achieve important goals such as expanding the business, buying machines, opening new branches, or increasing production. It gives direction on how money should be saved and used over a long period of time.

Example: A company may plan to save profits for five years in order to buy new production equipment.

2. Improved Strategic Decision-Making.

Long-term budgeting helps managers make better decisions because they can clearly see the future financial position of the business. It allows them to plan business activities carefully and avoid unnecessary spending.

Example: A school may prepare a long-term budget before deciding to build new classrooms or employ more teachers.

3. Preparation for Future Emergencies and Unexpected Costs

A long-term budget helps businesses prepare for unexpected problems such as economic crises, machine breakdowns, or increases in prices. The business can create emergency savings to handle such situations.

Example: A supermarket may keep emergency funds in its budget to manage sudden increases in transport or fuel costs.

4. Better Debt Management and Financial Independence

Long-term budgeting helps businesses control loans and debts by planning how they will repay them over time. This reduces dependence on borrowing money frequently.

Example: A business owner may budget monthly profits to repay a bank loan within three years

5. Increased Financial Stability and Reduced Stress

When a business follows a long-term budget, it becomes financially stable because expenses and income are well planned. Managers and employees feel more confident and less worried about financial problems.

Example: A company with a good long-term budget can continue operating smoothly even during periods of low sales.

b) Disadvantages of Long-Term Budget

1. High Inaccuracy Due to Uncertain Assumptions

Long-term budgets are based on future predictions, and sometimes those predictions may be wrong because business conditions change unexpectedly.

Example: A company may expect high profits in the future, but economic recession may reduce customer demand.

2. Rigidity and Lack of Adaptability

Some long-term budgets are too fixed and difficult to change. This can make it hard for businesses to adjust to new situations or opportunities.

Example: A business may continue following an old budget even after market prices have changed.

3. Extremely Time-Consuming and Costly

Preparing a long-term budget requires a lot of time, effort, and money because businesses must collect and analyze large amounts of information.

Example: A large company may hire financial experts and spend many weeks preparing a five-year budget plan.

4. Overemphasis on Short-Term Decisions

Sometimes businesses focus too much on meeting budget targets instead of thinking about long-term growth and innovation.

Example: A company may reduce employee training costs just to remain within the budget.

5. Demotivation and “Use It or Lose It” Mentality

Employees may feel discouraged when budgets are too strict. Others may spend all allocated money unnecessarily because they fear losing future budget allocations.

Example: A department may buy unnecessary office items at the end of the year just to finish the budget provided.

c) Advantages of Short-Term Budget

1. Rapid Response to Changes (Agility)

A short-term budget helps a business respond quickly to changes in the market, prices, or customer demand. Since the budget covers a short period, it is easier to adjust when necessary.

Example: A shop can quickly reduce expenses when sales decrease during a low business season.

2. Enhanced Financial Control and Reduced Overspending

Short-term budgeting helps businesses monitor daily and monthly expenses carefully. This reduces unnecessary spending and helps managers control company money properly.

Example: A restaurant may set a monthly food budget to avoid buying too many ingredients that may spoil.

3. Optimal Allocation of Resources

A short-term budget helps businesses use available resources such as money, workers, and materials in the best way possible.

Example: A company may allocate more money to transport during busy business months to improve delivery services.

4. Goal Achievement and Tracking

Short-term budgets help businesses set small goals and measure progress within a short time. This makes it easier to know whether the business is performing well or not.

Example:A business may set a goal of increasing monthly sales by 10% and monitor the results every month.

5. Improved Decision-Making and Financial Clarity

Managers can make better decisions because short-term budgets provide a clear picture of income and expenses over a short period.

Example:A business owner may decide to reduce unnecessary expenses after seeing high monthly electricity bills.

d) Disadvantages of Short-Term Budget

1. Neglect of Long-Term Strategic Goals

Businesses may focus too much on short-term activities and forget important long-term plans such as expansion or investment.

Example:A company may avoid buying modern machines just to save money in the current year.

2. Rigidity and Lack of Adaptability

Some short-term budgets are fixed and may not easily adjust to sudden changes in business conditions.

Example:A shop may continue following the same spending plan even when prices of goods suddenly increase.

3. High Time and Resource Consumption

Preparing and reviewing short-term budgets frequently can consume a lot of time, effort, and money.

Example: A business may spend many hours every month preparing budget reports instead of focusing on production.

4. Creation of Budgetary Slack

Employees or managers may intentionally overestimate expenses or underestimate income to make targets easier to achieve.

Example: A department manager may request more money than needed so that the budget appears well managed later.

5. Focus on Metrics Over Strategy

Businesses may pay too much attention to meeting budget figures instead of improving quality, customer service, or innovation.

Example: A company may reduce employee training simply to remain within the monthly budget.

e) Advantages of Current Budget

1. Prevents Overspending and Controls Debt

A current budget helps businesses spend according to available income and avoid unnecessary borrowing.

Example: A business may limit office expenses to avoid taking loans for daily operations.

2. Enables Achievement of Financial Goals

Current budgeting helps businesses save money and achieve short-term financial objectives.

Example:A company may save part of its monthly profits to buy new computers for employees.

3. Prepares for Emergencies

A current budget allows businesses to keep emergency funds for unexpected situations.

Example:A shop may save money to handle sudden repair costs after equipment damage.

4. Provides Clear Spending Insights

A current budget helps managers understand where money is being spent and identify areas of waste.

Example:A business owner may notice that transport costs are too high and decide to reduce unnecessary trips.

5. Reduces Financial Stress

When income and expenses are planned properly, businesses operate more smoothly and managers feel less pressure.

Example:A company with a proper budget can pay salaries and bills on time without panic.

f) Disadvantages of Current Budget

1. Rigidity and Lack of Flexibility

A current budget may become difficult to adjust when unexpected changes occur.

Example: A business may fail to buy urgently needed materials because they were not included in the budget.

2. Time-Consuming and Resource-Intensive

Preparing and monitoring budgets regularly requires time, effort, and skilled workers.

Example: A company accountant may spend many hours preparing monthly budget reports.

3. Reliance on Estimates and Assumptions

Budgets depend on predictions, and wrong estimates can lead to financial problems.

Example: A business may expect high sales but later experience low customer demand.

4. Encourages Short-Term Thinking

Managers may focus more on immediate financial results and ignore future growth opportunities.

Example: A company may reduce marketing activities to save money, which later reduces customer growth.

5. Promotes Budgetary Slack and Gaming

Some employees may manipulate budget figures for personal advantage or easier performance evaluation.

Example: A manager may intentionally underestimate sales targets so they can appear successful later.

g) Advantages of Functional Budget

1. Enhanced Operational Control

A functional budget helps each department control its activities and spending properly. Managers can monitor expenses and ensure work is done according to plan.

Example: The production department may use its budget to control the cost of raw materials and avoid waste.

2. Improved Resource Allocation

A functional budget helps businesses distribute money, workers, and materials to departments where they are most needed.

Example: A company may allocate more funds to the marketing department during a new product launch.

3. Clearer Performance Evaluation

Functional budgets make it easier to measure the performance of each department because every section has its own targets and budget limits.

Example: The sales department can compare actual sales with the budgeted sales target at the end of the month.

4. Better Coordination Among Departments

Functional budgets improve cooperation between departments because each section understands its responsibilities and works toward common business goals.

Example: The purchasing department and production department may coordinate to ensure raw materials are available on time.

5. Effective Cash Flow Planning

Functional budgets help businesses plan how money will be received and spent in different departments, improving cash management.

Example: The finance department may prepare monthly cash plans to ensure salaries and supplier payments are made on time.

h) Disadvantages of Functional Budget

1. Promotes Departmental Silos and Conflict

Departments may focus only on their own goals and fail to cooperate with others, causing misunderstandings and conflict.

Example: The sales department may demand more products while the production department tries to reduce costs, leading to disagreements.

2. Time-Consuming and Costly Process

Preparing budgets for every department requires a lot of time, effort, and money.

Example: A large company may spend several weeks collecting budget information from all departments.

3. Inflexible to Rapid Change

Functional budgets may be difficult to adjust quickly when business conditions change suddenly.

Example: A department may continue using an old budget even after market prices increase unexpectedly.

4. Focuses on Short-Term Objectives

Departments may concentrate more on achieving immediate budget targets instead of long-term business growth.

Example: A company may reduce staff training costs just to remain within the department budget.

5. Encourages Budgetary Slack and Inefficiency

Managers may request more funds than necessary to make their departments appear efficient later.

Example: A department head may overestimate office expenses so that unused money remains at the end of the year.

i) Advantages of Master Budget

1. Improves Planning and Goal Setting

A master budget helps the whole business plan future activities and set financial goals clearly.

Example: A company may use a master budget to plan annual sales, production, and expenses.

2. Coordinates Activities Across Departments

The master budget combines all departmental budgets, helping every department work together toward common objectives.

Example: The sales, production, and purchasing departments can coordinate their activities using one overall budget plan.

3. Facilitates Performance Evaluation (Control)

Managers can compare actual business performance with the master budget to identify problems and improve operations.

Example: A company may compare actual monthly expenses with planned expenses to identify overspending.

4. Optimizes Resource Allocation

A master budget helps businesses use available resources effectively by distributing them according to business priorities.

Example:A company may allocate more funds to departments that generate higher profits.

5. Motivates Personnel and Communicates Expectations

Employees understand business goals clearly through the master budget, which can motivate them to work harder.

Example:Workers may increase effort when they know the company's sales targets and expected results.

j) Disadvantages of Master Budget

1. High Time Consumption and Costs

Preparing a master budget requires detailed information from all departments, which takes a lot of time and money.

Example:A company may hire financial experts to prepare annual master budget reports.

2. Inflexibility and Rigidity

Once prepared, a master budget may become difficult to change even when business conditions change.

Example:A business may struggle to adjust its budget after sudden increases in fuel prices.

3. Reliance on Inaccurate Forecasts

The master budget depends on future estimates, and wrong predictions can affect the entire business plan.

Example: A company may expect high sales but later experience low customer demand.

4. Behavioural Issues and “Budgetary Slack”

Some managers may manipulate budget figures to make performance targets easier to achieve.

Example: A manager may underestimate expected sales so that actual results appear better later.

5. Short-Term Focus at the Expense of Long-Term Strategy

Businesses may focus too much on achieving yearly budget targets and ignore future expansion or innovation.

Example: A company may reduce research and development expenses to save money in the current budget year.

k) Advantages of a Fixed Budget - 5 Major Factors

A fixed budget is set once and doesn't change, no matter what happens during the period.

1. Ease of Preparation and Implementation

It's simple to make because you only set the numbers once.

Example:_ A small shop sets TZS 500,000 for rent every month. The owner doesn't have to recalculate it every week. Easy to follow and explain to staff.

2. Strict Cost Control and Discipline.

Everyone knows the limit, so it forces people to spend carefully.

Example:_ If the marketing team has TZS 200,000 fixed for adverts, they can't just spend 400,000 without approval. This stops waste.

3. High Predictability and Stability.

You know exactly what will come in and go out. This makes planning easier.

Example:_ A school knows it will spend TZS 2M on teacher salaries every month. The bank and suppliers can trust the cash flow is stable.

4. Clear Performance Benchmarking.

You have one target to compare against, so it's easy to see if you did well or not.

Example:_ If sales target is fixed at 10M and you make 8M, you know you missed by 2M. No excuses.

5. Improved Long-Term Planning.

Because costs don't change, you can plan projects years ahead with confidence.

Example: If rent is fixed for 2 years, a business can safely plan to open a second branch without fearing sudden cost jumps.

I) Disadvantages of a Fixed Budget - 5 Major Factors.

1. Extreme Inflexibility to Change

It can't adjust when things change unexpectedly.

Example: If fuel prices double, a transport company with a fixed fuel budget will struggle. They can't move money from another department easily.

2. Misleading Performance Evaluations.

It judges people based on a plan that might be outdated.

Example:_ If a recession hits and sales drop 50%, the sales team looks "bad" even though the problem was the economy, not them.

3. Encourages "Use it or Lose it" Spending.

Departments rush to spend all their money at the end just to avoid budget cuts next year.

Example:_ An office spends TZS 100,000 on unnecessary stationery in December just to finish the budget. Wasteful.

4. Irrelevance in Fast-Moving Environments.

In businesses like fashion or tech, things change too fast for a fixed plan to stay useful.

Example:A fixed budget made in January for TikTok ads is useless by June if TikTok trends die.

5. Poor Resource Allocation.

Money stays locked in one place even if it's not needed there anymore.

Example:_ Too much money stuck in print ads while Instagram marketing is bringing all the customers, but you can't shift the budget.

m) Advantages of a Flexible Budget - 5 Major Factors.

A flexible budget changes based on your actual activity level. If you sell more, the budget allows more spending.

- Increased Adaptability to Changing Conditions
- It moves with reality.

Example:_ If a mama lishe sells 200 plates instead of 100, her budget for rice and oil automatically increases. She doesn't run out of stock.

2. Better Performance Evaluation.

It compares actual results to what the budget _should_ have been at that level of sales.

Example: If you only sold 60% of target, the budget expects you to spend 60% too. So you're not blamed unfairly.

3. Improved Cost Control

It separates fixed costs like rent from variable costs like packaging. You only spend more when you earn more.

Example:A bodaboda app spends more on fuel only when more rides are completed.

4. Enhanced Decision-Making and Scenario Planning.

You can test “what if” scenarios easily.

Example: “What if sales drop 20% next month?” The flexible budget shows you exactly how costs and profit will change.

5. More Accurate Forecasting.

Because it's based on real activity, future predictions are closer to reality.

Example: If each new customer costs TZS 2,000 to serve, you can predict costs for 500 customers accurately.

N) Disadvantages of a Flexible Budget - 5 Major Factors.

1. High Complexity and Time-Consuming Preparation.

You need to split costs into fixed and variable, and create formulas. It's a lot of work.

Example: A small hardware shop owner might spend 3 days just trying to figure out the formulas, time they could use to sell.

2. High Costs of Implementation and Maintenance.

You often need accounting software or a trained accountant to run it.

Example:_ Paying for QuickBooks and an accountant might cost more than the money you save, especially for SMEs.

3. Inaccurate Performance Evaluation due to Lack of Revenue Comparison.

Sales and cash don't always move together.

Example:_ You might sell a lot in March but get paid in May. The budget shows high costs now, but no cash yet, making performance look worse than it is.

4. Less Accountability and Risk of Budget Manipulation.

Because numbers keep changing, managers can hide poor performance.

Example: “Sales were low, so our cost per unit is high” becomes an excuse every month.

5. High Dependence on Accurate Forecasting and Data.

If your sales forecast is wrong, the whole budget collapses.

Example: If you expect 1,000 customers but only 300 show up, all your variable costs and profit projections are wrong.

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